FIU-IND STR (Suspicious Transaction Report) Guidelines – Quick Reference

A **Suspicious Transaction Report (STR)** is submitted by a Reporting Entity (banks, NBFCs, financial institutions, intermediaries, etc.) to **Financial Intelligence Unit–India (FIU-IND)** whenever a transaction or attempted transaction appears suspicious and may be related to money laundering, terrorist financing, fraud, or other criminal activity. [fiuindia.gov.in], [finlaw.in]

What Should Trigger an STR?

Examples of suspicious indicators include:

- Structuring/smurfing of cash deposits to avoid reporting thresholds.
- Multiple transactions with no apparent economic purpose.
- Sudden increase in transaction volume inconsistent with customer profile.
- Use of mule accounts or third-party accounts.
- Transactions involving high-risk jurisdictions.
- Unexplained cross-border transfers.
- Frequent movement of funds through multiple accounts.
- Potential sanctions or terrorist financing concerns. [finlaw.in], [finlaw.in]

Information Typically Included in an STR

1. Customer details
2. Account information
3. Transaction details
4. Reasons for suspicion
5. Related individuals/entities
6. Supporting narrative
7. Reporting entity details
8. Principal Officer details [fiuindia.gov.in], [fiuindia.gov.in]

STR Narrative Best Practices

A good STR narrative should:

- Describe the activity objectively.
- Include dates, amounts, and transaction patterns.
- Explain why the activity is suspicious.
- Reference customer profile inconsistencies.
- Avoid speculation.
- Clearly state risk indicators observed.

Example

Between 01-Jun-2026 and 15-Jun-2026, the customer conducted 18 cash deposits totaling INR 42,50,000 across four branches. Individual deposits ranged between INR 1,80,000 and INR 1,95,000 and remained consistently below internal monitoring thresholds.

The deposited funds were transferred within 24 hours to multiple unrelated beneficiaries. The transaction pattern is inconsistent with the customer's declared business activities and reflects characteristics commonly associated with structuring designed to avoid regulatory reporting requirements.

Accordingly, the activity is considered suspicious and is being reported for review.

Reporting Process

Alert Generated

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Analyst Review

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Investigation

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Suspicion Confirmed

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Prepare STR

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Principal Officer Approval

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Submit to FIU-IND

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Maintain Evidence & Monitoring